

Motivation

The pay-TV and streaming industry are changing as more consumers move from satellite TV to online streaming services. STADIOchoice is facing a challenge because their profitable satellite subscriber base of 13.8 million households is declining by about 5% annually, although the STADIOstream has grown to 7.7 million subscribers it hasn't become profitable. One of the main drivers of this challenge is increasing subscriber churn, which has risen from 6.5% to 9.2% per month over the past two years. During the same period, customer acquisition costs increased from R240 to R355 per subscriber, while trial-to-paid conversion rates declined from 41% to 33%. These trends suggest that attracting and retaining subscribers is becoming more difficult, reducing revenue growth, increasing marketing costs, and placing pressure on the long-term sustainability of the streaming business. The challenge is important because STADIOchoice is attempting to replace a declining but profitable satellite business with a profitable streaming business while investing approximately R34 billion annually in content and sports rights. Addressing subscriber churn is critical to achieving STADIOchoice's strategic objective of becoming a streaming-first, subscriber-focused organisation. The company already possesses valuable data through its unified data platform, including streaming viewing behaviour, billing records, customer support interactions, cancellation history, search activity, and content consumption information. Despite having access to these data sources, the organization currently lacks a reliable method for identifying subscribers who are most likely to cancel their subscriptions and understanding the factors influencing churn. Data Science techniques can assist by identifying patterns within historical customer data and developing predictive models that estimate the likelihood of subscriber cancellation. The insights generated from this study may support more targeted retention strategies, improve customer engagement, optimise marketing expenditure, reduce unnecessary retention incentives, and strengthen customer lifetime value. These benefits could contribute directly to improved profitability, better decision-making, and the long-term success of STADIOchoice's streaming business in an increasingly competitive market.